

Procedural unconscionability concerns the manner in which the contract was negotiated and the parties' circumstances at that time. It focuses on the factors of surprise and oppression. (*Kinney v. United Healthcare Servs.* (1999) 70 Cal.App.4th 1322, 1329.)

These factors “include, but are not limited to (1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party’s review of the proposed contract was aided by an attorney.” (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126-127.)

Thus, the Supreme Court instructs courts to first determine whether an arbitration agreement is adhesive. (See *Armendariz*, 24 Cal. 4th at 114-115.) “Oppression generally takes the form of a contract of adhesion, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it.” (*Carmona v. Lincoln Millennium Car Wash, Inc.* (2014) 226 Cal.App.4th 74, 84, quotations and citations omitted.)

Plaintiff contends the Arbitration Agreement is procedurally unconscionable because it was presented on a take-it-or-leave-it basis as part of an onboarding packet, without an opportunity to negotiate, adequate time for review, or advisement regarding consultation with counsel. Plaintiff further argues the arbitration provision was obscured within a multi-section document titled “Applicant’s Statement & Agreement,” without a separate heading clearly identifying it as an arbitration agreement or waiver of jury trial rights.

While some degree of procedural unconscionability may exist because the agreement was presented in the employment context, any such unconscionability appears to be minimal. The arbitration provisions comprise most of the two-page agreement and are not hidden within a lengthy or confusing document. Further, there is no

evidence Plaintiff was rushed, pressured, misled, or prevented from reviewing the agreement before signing.

Substantive Unconscionability

In order to be invalid, the arbitration agreement must also be substantively unconscionable. “Substantive unconscionability pertains to the fairness of an agreement's actual terms and to assessments of whether they are overly harsh.” (*Carmona v. Lincoln Millennium Car Wash, Inc.*, 226 Cal.App.4th at 85, quotations and citations omitted.) “A contract term is not substantively unconscionable when it merely gives one side a greater benefit; rather, the term must be so one-sided as to ‘shock the conscience.’” (*Ibid.*)

The “paramount consideration” is the mutuality of the obligation to arbitrate. (*Nyulassy v. Lockheed Martin Corp.* (2004) 120 Cal.App.4th 1267, 1287.) “Substantive unconscionability focuses on the one-sidedness or overly harsh effect of the contract term or clause.” (*Harper v. Ultimo* (2003) 113 Cal.App.4th 1402, 1406-1407.) An arbitration agreement “lacks basic fairness and mutuality if it requires one contracting party, but not the other, to arbitrate all claims arising out of the same transaction or occurrence or series of transactions or occurrences.” (*Armendariz*, 24 Cal.4th at 120.)

Plaintiff argues that the Arbitration Agreement is substantively unconscionable because it repeatedly refers to “the Company” without identifying the applicable entity or entities, thereby allegedly allowing Defendants to selectively invoke the agreement across multiple related entities. While uncertainty regarding the parties to an arbitration agreement may contribute to unconscionability concerns in some circumstances, the Arbitration Agreement here is bilateral on its face and governs disputes arising from Plaintiff’s employment relationship. (Van Hooser Decl., ¶ 8, Exhs. A-B.) The agreement does not contain the type of one-sided provisions limiting remedies, restricting discovery, imposing unfair costs, or exempting employer claims from arbitration that typically support a finding of substantive unconscionability. Moreover, Plaintiff’s claims against both Defendants arise from the